



Liquidity Scorecard

Calling a market ‘liquid’ is not analysis. Kyle, Amihud, and the market-microstructure literature split the word into measurements that can disagree with each other. Use all four.

Tightness

The cost of a small round trip now — spread, fees, half-spread paid. Tight is not the same as safe.

Depth

How much size sits at and behind the inside. A one-lot inside is not a market you can use.

Immediacy

How fast you can complete a given size. Auction versus continuous. Hidden versus displayed.

Resilience

How quickly the book repairs after you take it. A print that leaves a hole is a different object from a print that is absorbed.



KEN CORDELE GRIFFIN ACADEMY

FOUR MEASUREMENTS

Liquidity Scorecard

SCORECARD PRACTICE

- Score the object at the size you actually trade, not at the inside quote.
- Note the session: open, continuous, close, halt reopen. Liquidity is a function of the clock.
- Compare displayed depth with what actually trades when you lift it. The difference is information.
- Resilience is observed after the fact. Write what you saw. Do not invent it in advance and call it a model.
- A scorecard is dated. Yesterday's tightness is not today's.